

Good morning, Pro Briefers!

Earlier in 2026, federal officials announced a big decision: They're pulling back water releases from Lake Powell to the lowest level in decades.

Lake Powell is one of the most important reservoirs in the U.S., located in Utah and Arizona.

And it's in trouble.

Just before that, a company called Ecolab (ECL) dropped \$4.75 billion to buy a business that cools AI data centers using liquid instead of air.

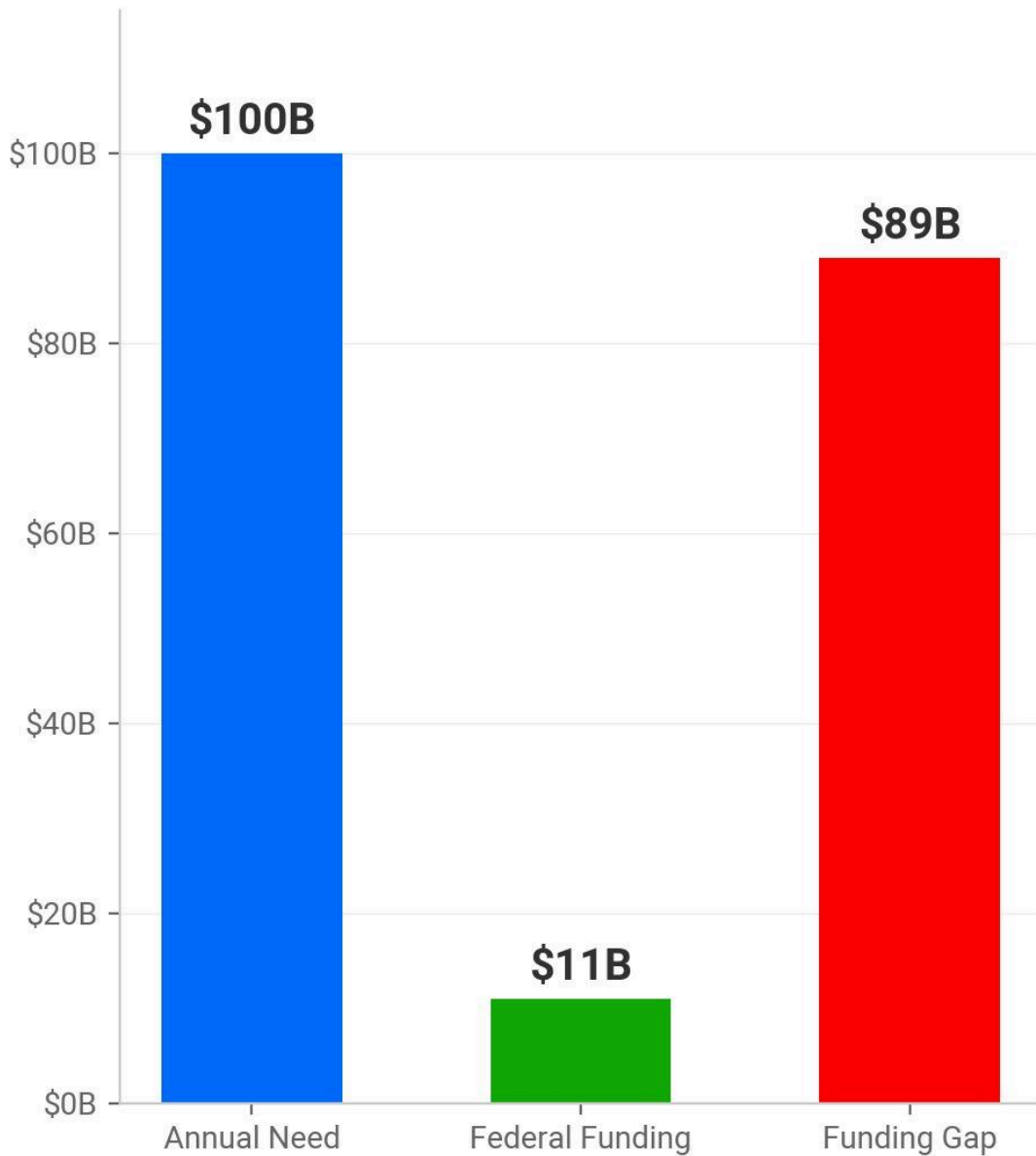
And only days earlier, federal regulators delayed a major water pollution rule for the third time in four years.

On the surface, these events seem unrelated.

But they all point to the same bigger trend: Water has become one of the most important investment themes in America.

America's Water Infrastructure Funding Gap

Annual amount needed to fix aging systems vs. federal dollars delivered



Market Briefs Pro

Data [via](#) American Water Works

That's where we've identified an Innovation Shift: Large companies are now spending their own money to solve water problems, creating potential opportunities for investors.

Let's break down why investors may want to pay attention to this shift.

In plain English: America has a water problem.

Pipes, treatment plants, and reservoirs across the country are either aging out, breaking down, or running dry.

- The American Society of Civil Engineers - a group that grades the nation's infrastructure - gave U.S. drinking water a C- in its 2025 report card.

Fixing everything would cost roughly \$100 billion per year.

The government's largest water spending package only delivers about \$11 billion annually.

That leaves a gap of nearly \$89 billion per year.

And there's actually two potential opportunities here:

- **Government-led:** City water systems, replacing old lead pipes, and pollution cleanup. These efforts mostly rely on federal and state dollars.
- **Corporate-led:** AI data center cooling, factory water recycling, and new water-supply technology. These efforts are funded by private companies.

Two Pillars of the Water Investment Theme

Where the \$89B funding gap may be filled — and by whom

GOVERNMENT-LED

CORPORATE-LED

FOCUS

City water systems, lead pipe replacement, pollution cleanup

AI data center cooling, factory water recycling, new supply tech

FUNDED BY

Federal & state dollars

Private companies reinvesting their own capital

STATUS

May slow if Congress lets the water bill expire Sept 2026

Already growing — no Washington approval needed

FEATURED NAME

American Water Works (AWK)

Ecolab (ECL), Veralto (VLTO), Xylem (XYL)

Market Briefs [Pro](#)

The government-led side may slow down if Congress doesn't renew the big federal water bill before it expires in September 2026.

The corporate-led side? It's already growing and doesn't need anyone in Washington to approve anything.

That's where the bigger potential opportunity for investors lies - so let's break each one down next.

ANALYST TAKE

Tickers we're tracking:

AI cooling: ECL

Water quality: VLTO

Water equipment: XYL

Utility: AWK

AI COOLING

Cooling The AI Boom

Every ChatGPT answer, every AI-powered Google search, and every video recommended by Netflix runs through a giant data center somewhere.

Those data centers create enormous amounts of heat. To keep the computers inside from melting down, they need serious cooling - which usually means a lot of water.

Ecolab is making a more efficient way to cool data centers.

- In March 2026, it spent \$4.75 billion to buy a Canadian company called CoolIT Systems.

CoolIT makes cooling systems that push liquid directly onto computer chips, avoiding the traditional evaporative cooling towers that use water.

What makes this interesting? Only about 5 out of every 100 data centers use this newer cooling method right now.

Ecolab already supplies water services to more than 1,000 data centers worldwide.

With CoolIT now under its roof, the company believes it can earn three to five times more from each of those existing customer relationships.

Ecolab (ECL) Financial Snapshot

April 2026

METRIC	VALUE
Share Price	~\$261
Forward P/E	~31x
2026 EPS Growth Guidance	12-15%
2027 Op. Margin Target	20%
CoolIT Acquisition	\$4.75B

Market Briefs Pro

Data [via](#) Ecolab's Investor Presentation

Here's the financial outlook from Ecolab:

- EPS growth guidance of 12-15% for 2026
- A target of 20% operating margins by 2027

EPS, or earnings per share, shows how much profit a company makes for each share of its stock.

- Ecolab shares trade around \$261 today, sitting at a forward P/E ratio of about 31x.

P/E stands for price-to-earnings. It tells you how much investors are willing to pay for each dollar of the company's profit.

Ecolab (ECL): Cooling the AI Boom

**\$4.75B spent to acquire CoolIT Systems
in March 2026**

**Already supplies water services to
1,000+ data centers worldwide**

**Only 5 of every 100 data centers use
the newer liquid-to-chip cooling —
room to grow**

**3-5x potential revenue uplift from
each existing data center customer**

Market Briefs [Pro](#)

Data [via](#) Ecolab's Investor Presentation

Even if cooling technology changes dramatically in the future, here's the twist: Ecolab now owns the very technology that could replace traditional water cooling.

For investors wanting potential exposure to AI's growing thirst, Ecolab may be a name to keep on the watchlist.

Exit Trigger: Watch for trouble closing the CoolIT deal in Q3 2026, or signs that the 20% operating margin target for 2027 is starting to slip.

At a forward P/E of 31x, there's little room for a miss. A weak earnings report or cooling demand from data center customers could be a reason to step back from the position.

Ecolab Inc. (ECL)

YTD Price



\$271.45
(3.40%)



Briefs Terminal

Data [via](#) Briefs Terminal

WATER QUALITY

The Compounder

Cooling may become a big factor for chips and data centers - but Veralto (VLTO) is building a more predictable kind of water business with huge applications right now.

Veralto makes water testing and quality monitoring equipment - think sensors and systems that check if water is safe to drink, clean enough for factories, or acceptable for other industrial uses.

Its business runs on recurring revenue - money that comes in consistently year after year from long-term customers.

In January 2026, Veralto paid \$435 million to acquire In-Situ, a water testing company that filled gaps in its product line.

Veralto also owns a minority stake in Axine Water Technologies, a startup developing technology to destroy PFAS.

Veralto (VLTO) Financial Snapshot

April 2026

METRIC	VALUE
2025 Free Cash Flow	>\$1.0B
2026 EPS Guidance	4.10 – 4.20
Forward P/E	23-27x
In-Situ Acquisition	\$435M
Norway Sovereign Stake	\$264M

Market Briefs **Pro**

Data [via](#) Veralto's Investor Presentation

Those are industrial chemicals often called "forever chemicals" because they don't naturally break down in the environment.

Here's Veralto's financials at a glance:

- More than \$1 billion in free cash flow in 2025
- 2026 EPS guidance of \$4.10-\$4.20
- Forward P/E of around 23-27x, which is cheaper than many companies in the industry

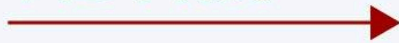
Plus, Norway's sovereign wealth fund - one of the largest government-owned investment funds on Earth - bought \$264 million worth of Veralto stock in late 2025.

Sovereign wealth funds typically invest for the long haul. When one takes a big new position in a company, it's often a signal they see steady growth ahead.

For investors who prefer slow-and-steady winners over flashy headlines, Veralto may be worth a closer look.

Veralto Corporation (VLTO)

YTD Price



\$88.79
(-11.01%)



Briefs Terminal

Data [via](#) Briefs Terminal

Exit Trigger: Watch for recurring revenue growth stalling below the mid-single-digit range. That would impact predictable revenue, one of the biggest parts of its business.

Also watch for signs Veralto is overpaying for new acquisitions without clear returns.

A couple of missed quarters in a row, or an expensive deal that drags down cash flow, could be a signal to reconsider the opportunity.

WATER EQUIPMENT

The Equipment Maker

Every time a new water system gets built, somebody has to make the pumps, pipes, and treatment equipment that go into it.

That's where Xylem (XYL) steps in.

Xylem makes water equipment and solutions for factories, cities, and more recently, data centers.

In late 2025, the company launched a new line of thermal management products aimed at AI data center cooling.

It also became a strategic investor in Flocean, a Norwegian startup building the world's first commercial underwater desalination plant.

- Desalination is the process of turning salty ocean water into fresh, drinkable water.

Xylem (XYL) Financial Snapshot

April 2026

METRIC	VALUE
Share Price	~\$121
YTD Move (2026)	down 10%
2026 Revenue Guidance	9.1 – 9.2B
2026 EPS Guidance	5.35 – 5.60
Share Buyback	\$1.5B

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Data [via](#) Xylem's Investor Presentation

The Flocean facility is expected to come online in 2026 - and over time, it could produce up to 50,000 cubic meters of fresh water per day.

Xylem's financial picture looks like this:

- 2026 revenue guidance of \$9.1-\$9.2 billion
- 2026 EPS guidance of \$5.35-\$5.60, around 8% growth at the midpoint
- A \$1.5 billion share buyback program approved in February 2026

Share buybacks are when a company uses its own cash to purchase shares of its own stock.

This can help push the stock price higher and lift earnings per share.

Xylem stock dropped about 10% in early 2026, and now trades around \$121.

However, the pullback may create a potential entry point for investors interested in this shift.

Exit Trigger: If data center orders keep softening through 2026, or if the Flocean plant hits major permitting delays, that's a warning sign worth paying attention to.

Xylem Inc. (XYL)

YTD Price



\$121.69
(-10.64%)



Briefs Terminal

Data [via](#) Briefs Terminal

Also watch for Xylem cutting its 2026 EPS growth guidance.

A couple of weak quarterly bookings reports in a row could signal this opportunity needs a closer look.

UTILITY

The Steady Giant

American Water Works (AWK) is the biggest publicly traded regulated water utility in the United States, serving millions of customers across the country.

A regulated utility is a company whose rates are set by government commissions. That means steady, predictable revenue - but also slower growth potential.

American Water Works is a one-stop shop for water - they source, treat and distribute water to households and businesses.

And the company has some major plans ahead:

- A \$29 billion infrastructure spending plan stretching through 2030
- An upcoming merger with Essential Utilities expected to close in early 2027
- A long-term EPS growth goal of 7-9% per year through 2030

American Water Works (AWK) Snapshot

April 2026

METRIC	VALUE
Infrastructure Plan (thru 2030)	\$29B
Long-term EPS Growth	7-9% / yr
Essential Utilities Merger	Close early 2027
Federal Water Bill Risk	Expires Sep 30, 2026
Business Type	Regulated Utility

Market Briefs **Pro**

Data [via](#) American Water Works' Investor Presentation

But there's a catch: American Water Works is the clearest example of the government-dependent side of this water shift.

The major federal water funding bill is set to expire on September 30, 2026. If lawmakers don't renew it, utilities across the country may struggle to cover repair and upgrade costs.

On the other hand, if a major water crisis - say, a big city running out of safe drinking water - forces the government to act fast, stocks like American Water Works could benefit.

Because of that uncertainty, American Water Works could offer investors some exposure to the government side of this overall shift.

American Water Works Company, Inc. (AWK)

YTD Price



\$134.97
(3.43%)



Briefs Terminal

Data [via](#) Briefs Terminal

Exit Trigger: If Congress lets the federal water funding bill expire on September 30, 2026 without a renewal, the government-led part of this shift may underperform for years.

Also watch for the Essential Utilities merger hitting regulatory delays or falling apart entirely.

If shares climb above \$145 without a major crisis catalyst, it may be time to take a look at holding before buying more.

RISKS

How This Shift Could Change

First, the government may keep kicking the can down the road.

Our analysis suggests there's a better than 55% chance federal water spending shrinks, instead of growing, in the coming years.

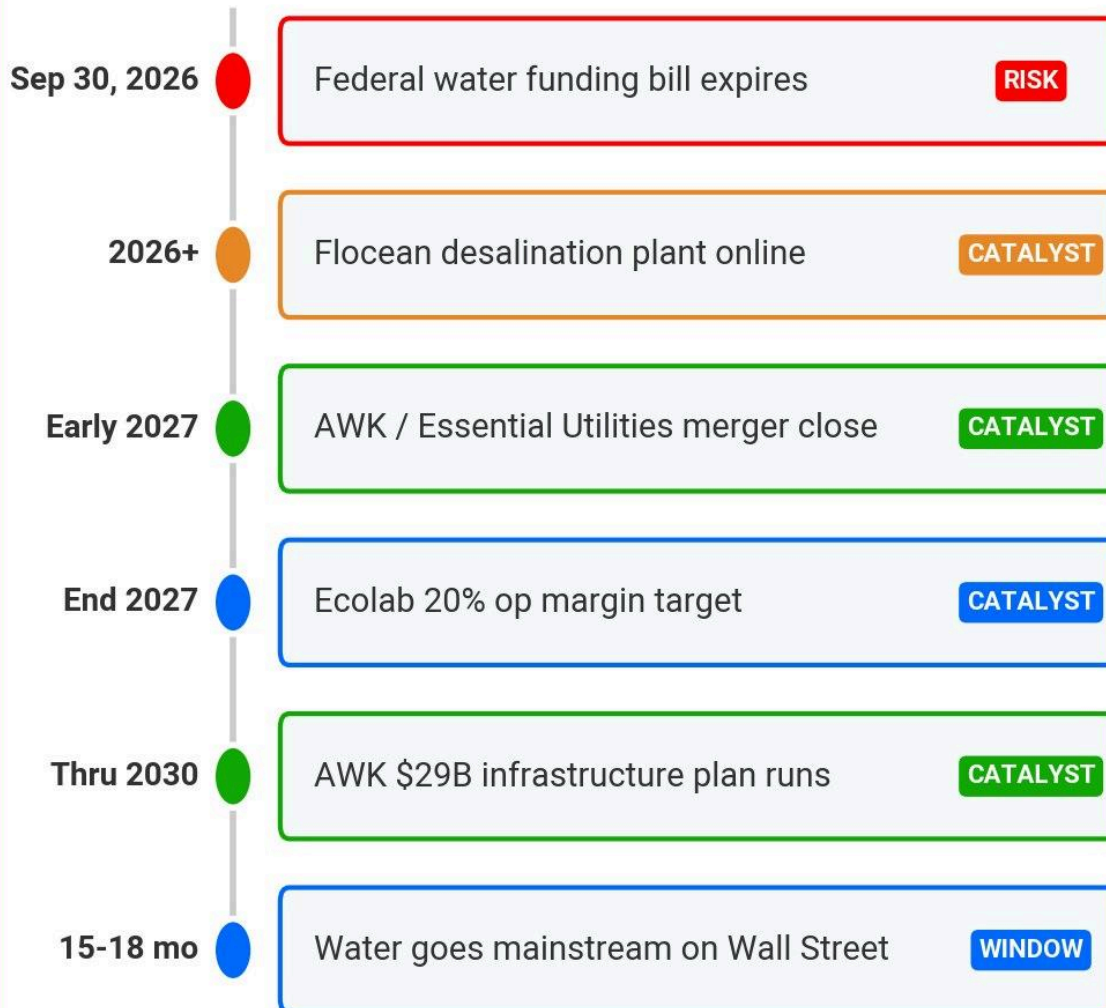
Second, technology shifts could surprise the market.

If AI data centers move toward closed-loop cooling systems that use almost no water, parts of the corporate story could lose steam.

Third, rate fatigue is real.

Key Catalysts & Risks on the Water Clock

Dates worth watching between today and 2030



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Water and sewer bills for American households climbed roughly 24% between 2019 and 2024. That's 2% higher than general inflation.

- Even with those rate hikes, utilities have still only been able to fund about a quarter of the repairs they actually need.

Fourth, building new water supply like desalination plants can take 7 to 15 years to get approved.

That's a long wait for any real payoff - so investors should keep all of these risks in mind when considering this as a potential long-term opportunity.

REVIEW

Two Streams Of Opportunity

Everyone and everything uses water.

Not only are we using more, but getting it is becoming harder.

Washington may not be supporting the industry enough, which is leading companies to come in and fill the gap.

That includes cooling AI data centers, recycling water in factories, or building new sources of fresh water.

Investors looking at this shift may want to lean more heavily toward the corporate names, with a smaller amount in utilities for optional upside if a crisis forces government action.

One more thing to keep in mind: The window to pay attention to this shift before it becomes common Wall Street chatter is still open, but it may not stay open forever.

- Our analysts estimate somewhere between 15 and 18 months before water becomes a mainstream investment topic.

That's the potential opportunity. As always, investors should do their own research and think carefully about what fits their own financial plans before making any moves.

But for those investors willing to take action before water becomes an even bigger topic across the globe, this could be a potential opportunity worth exploring for the long-term.

- Market Briefs Pro Team

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Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.